

to flash amber. The Indian food delivery market, now estimated at \$61 billion where Zomato and Swiggy have 85-90% market share, is showing signs of deceleration.

THE NUMBERS

The story is stark. For Zomato, the slowdown has been evident for five consecutive quarters. The gross order value (GOV) fell from ₹9,913 crore in the third quarter of FY25 to ₹9,778 crore in the fourth quarter of FY25, before inching up to ₹10,769 crore in the first quarter of FY26. More telling is the sharp decline in adjusted revenue growth for the segment, which halved from a 34% year-on-year increase in Q4FY24 to 17% in Q4FY25.

Swiggy's trajectory mirrors the trend. Its GOV, ₹7,436 crore in the third quarter of FY25, dipped to ₹7,347 crore in the fourth quarter of FY25, and was ₹8,086 crore in the first quarter of FY26.

Industry experts say even this modest growth was not driven primarily by a significant expansion of the user base but increase in platform fees and higher commissions from restaurants. Frequency growth is clearly being driven by the value-conscious segment, says Sandeep Gogia, MD & Sector Lead, Tech & Digital at Equirus Capital, adding that the value cohort contributes a higher share of monthly active users as well as repeat orders. Asked if "value meals" could converge into a category that becomes mainstream, Gogia says this segment has already moved beyond experimentation.

THE VALUE GAMBIT

Analysts at Ashika Institutional Equities say the value-meal cohort is growing significantly faster than the premium segment. Over the last year, Indian food-delivery platforms have seen a sharp



'TRYING MULTIPLE WAYS TO SUCCEED'

Rohit Kapoor, CEO, Swiggy Food Marketplace

You have emphasised affordability as the single largest 'unlock' in food delivery with the launch of Toing and 99 Store. What gaps in the value-conscious consumer base spurred these launches?

The rationale behind a separate app, 'Toing,' is to run a clean experiment on the marketplace model for what is a different business model. With affordability of meals likely to be the single largest unlock for the food delivery category, it is incumbent upon market creators like us to try multiple approaches and see what can succeed, even if that means disrupting the status quo.

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How are you designing the product-and-pricing architecture of these offerings?

We have been innovating to ensure an offering for expectations of all consumers through segmented propositions that feel customised.

To cater to the rising consumer awareness about eating healthy, we created specific, health-focussed categories on Swiggy such as 'High protein' and 'No added sugar.' We launched

'Deskeats' in 7,000+ tech-parks across 30 cities to cater to everyday office food missions with ease and affordability. We also expanded the 'Food on Train' programme to 115+ stations with new features.

On the affordability front, 99 Store has been solving for cheaper meals. It has scaled up to 500+ cities and is contributing high single-digit orders already. On the other hand, Gourmet continues to grow by adding more premium restaurants.

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With rising competition, how does Swiggy plan to position its value-meal ecosystem?

We were born among stiff competition, and we believe competition will continue to exist in different shapes and forms. Swiggy continues to innovate with launches like Bolt for those who value speed, 99 Store for consumers who value affordability, 'One Black', an invite-only loyalty programme that provides a multitude of benefits.

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Given that value meals challenge unit economics, how are you managing logistics, delivery partner incentives and cost base?

In value-led propositions like 99 Store, we are building an operating architecture and working closely with restaurant partners and delivery teams to make everyday meals more affordable without cutting corners. We are also working to reduce the overall cost-to-serve through hyper-curated supply (select SKUs, faster-prep items), tighter geofencing (working with partners who are closer to demand pockets) and other operational efficiencies.